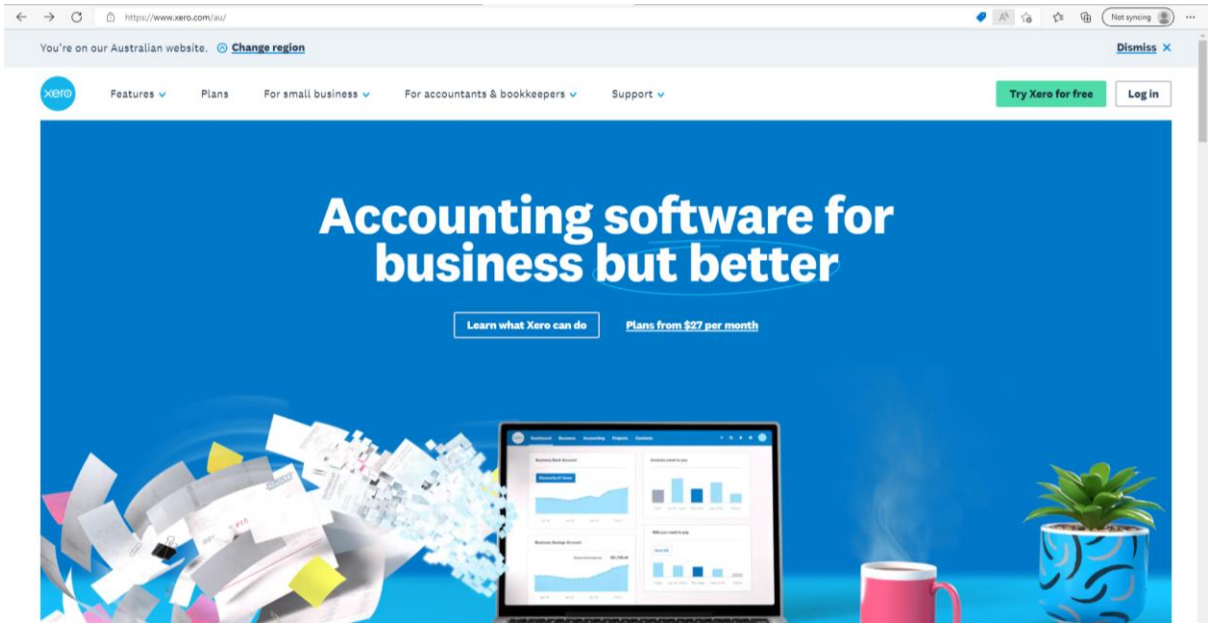
ACCY 122: Xero Practice Workbook – North Gong Surfer School

Dr Sanja Pupovac
Dr Kevin Huang

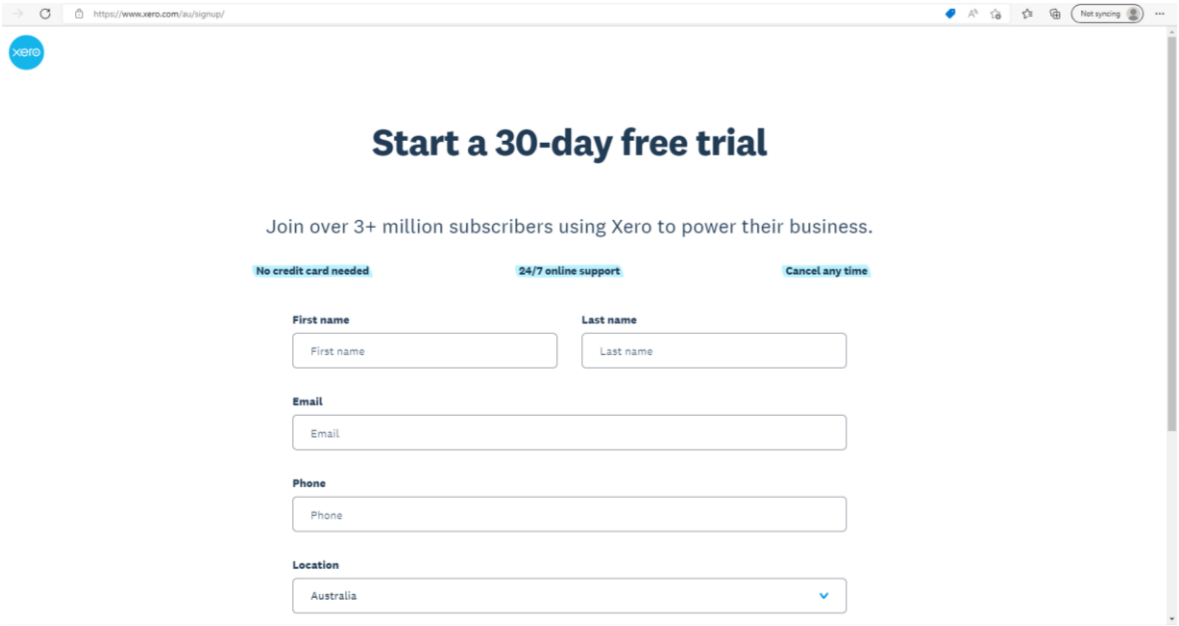
Getting Started!

Follow these steps to get started:

1. Go to the Xero homepage https://www.xero.com/au/ and click the "Try Xero for free" button in the right hand corner:



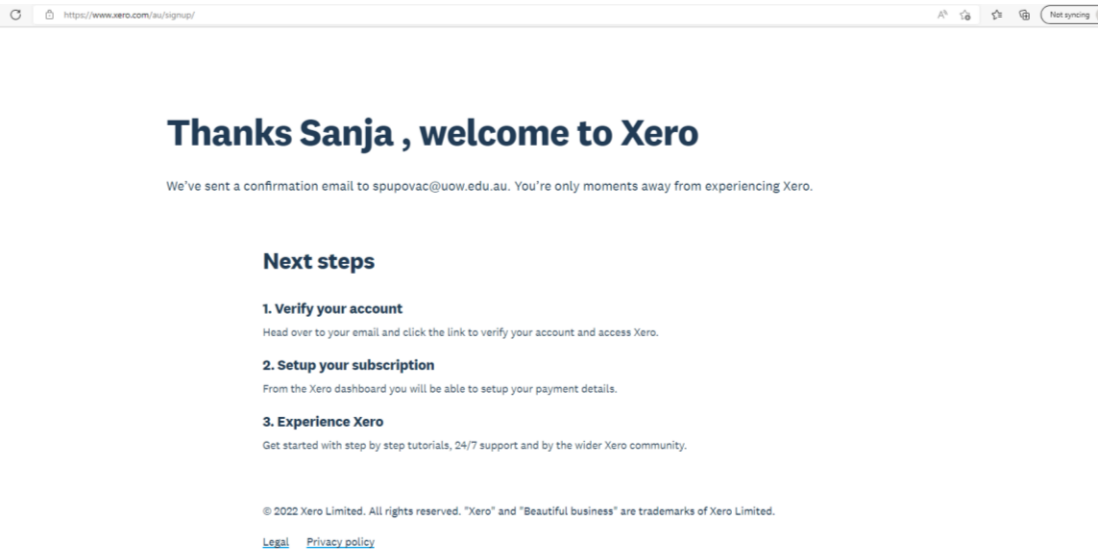
The Sign Up windows appears as below:



2. Fill in your contact details and other required fields. All contact details must be complete before proceeding. Please use your **UOW student email address.**

3. Read the Terms of Use, Privacy Policy and, if you are satisfied with them, check the box to indicate you accept them.

4. Click the Next: Conformation button. Once you have completed the Sign Up page, you will receive an email from Xero with the subject heading “Confirm your email address” with instructions to activate your account.



Here is how to activate your account:

1. Click yes to activate the account, the email from Xero looks like this (it will be your name):

Hi Sanja, it's great to meet you.
We'd like to make sure we got your email address right.

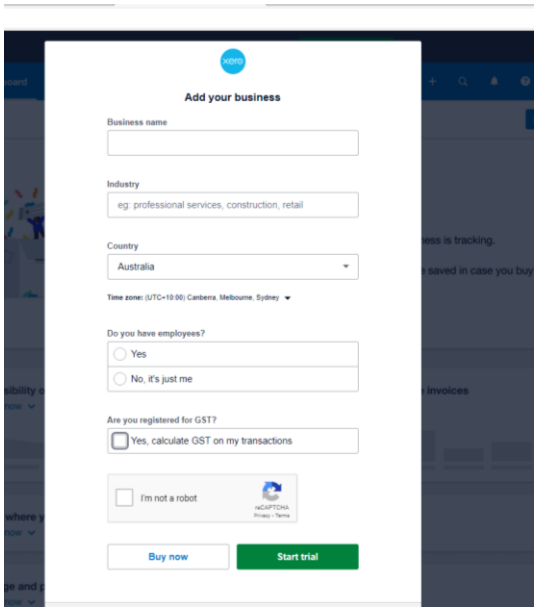
Yes, it's me – let's get started

2. Click on the blue button and you will be taken to the Activate Your Account window.

3. Create your password. The password needs to be at least eight characters long and include a number.

4. Click the blue Activate Your Account button.

5. You will be taken through to the Add Your Business Window. See below



6. Let’s set up Joe’s North Gong Surfer School!

Business Information

Joe Mahoe began operating North Gong Surfer School on 1 July 2022. The business is located at 1000 Cliff Rd, Wollongong, NSW, 2500. As Joe's accountant, you are responsible for setting up the Xero software for the business and preparing financial statements for its first month of operations. The following is the Chart of Accounts of North Gong Surfer School.

Chart of Accounts:

Use the below account names to record the general journal entries.
Account Title (set all existing balance as 0)

Assets:

Cash at Bank
Accounts Receivable
Prepaid Insurance
Supplies
Equipment
Accumulated Depreciation – Office Equipment (Note: Contra Asset)

Liabilities & Equity

Accounts Payable
Interest Payable
Short-term Loan
Capital – Joe Mahoe
Drawings – Joe Mahoe (Note: it normally has a debit balance)

Revenue

Service Revenue

Expenses

Rent Expense
Salaries Expense
Insurance Expense
Supplies Expense
Depreciation Expense
Interest Expense

Clearing (Closing Account) – This account is used to demonstrate manual closing entry

Profit/Loss Summary

Transactions:

During its first month of operation, North Gong Surfer School recorded the following transactions. (Set your business starting day as 1st July 2022)

1. July 1 Joe deposited $4,800, into the business bank account.
2. July 1 Purchased an insurance policy for the year for $2,400 cash.
3. July 7 Purchased supplies on credit from Tom's Quality Surfing Supplies, $600.
4. July 9 Issued an invoice to Kevin. H Company for surfing lessons performed for their employees as a Christmas bonus, $3,264.
5. July 10 Paid employee salaries, $1,467.
6. July 14 Purchased $6,000 worth of office equipment from Hawaii Company. Joe paid $1,000 in cash and the balance was placed on accounts payable.
7. July 15 Joe took a $2,000, 6-months short term loan from the ANZ bank. The loan will incur a 12% annual interest, which needs to be paid when the loan term is ended.
8. July 17 Received cash from Kevin. H Company, $3,264.
9. July 19 Made payment on account to Tom's Quality Surfing Supplies, $300.
10. July 22 Received cash payment for surfing lessons, $3,536.
11. July 31 Paid the current month's rent, $3,000.
12. July 31 Joe withdrew $667 from the business bank account for personal use.

The following adjusting entries occurred on 31st July.

a) Prepaid Insurance expired for one-month.

b) The supplies on hand balance is $317.

c) Depreciation not recorded on equipment is $100.

d) What about the interest for the short-term loan? What should be done?

Activity 1 – Setting up the Business and Preparing the Chart of Accounts

1. You have now registered for Xero free trial.

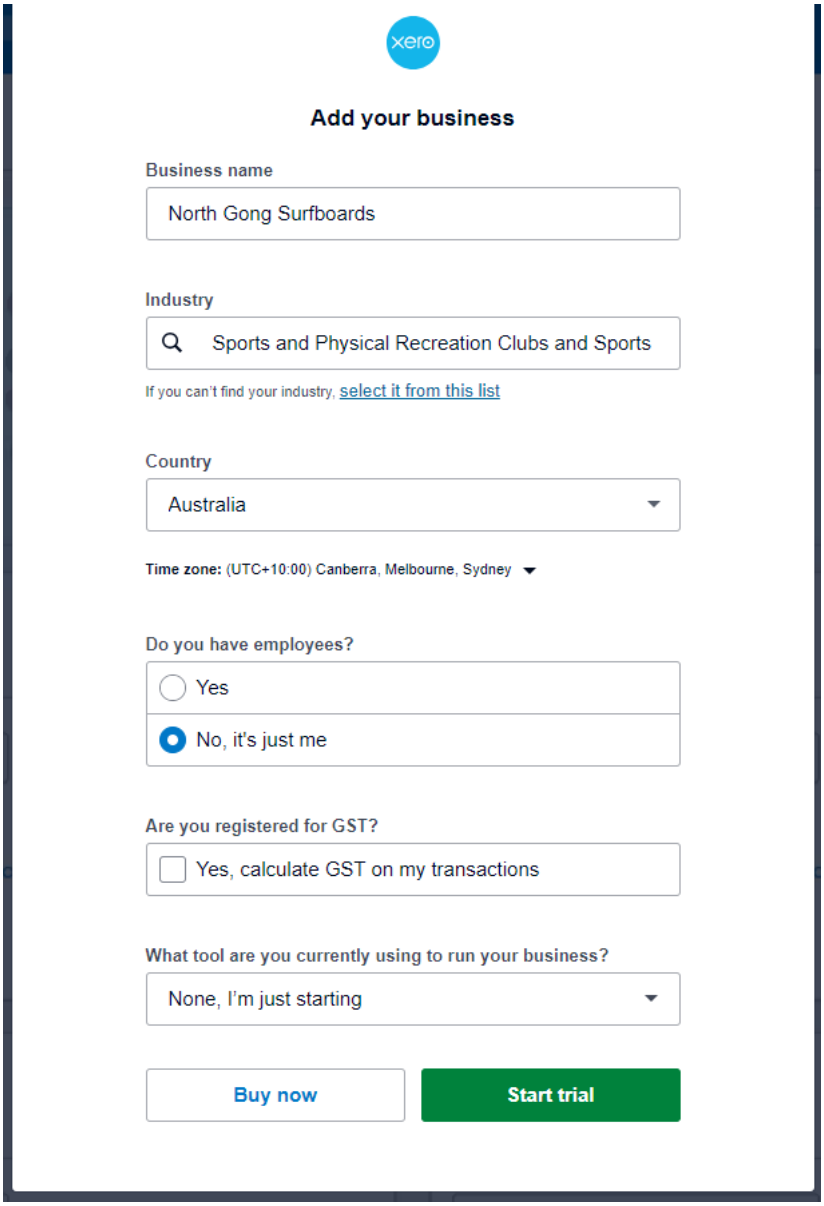
2. Add the Business

Business Name: North Gong Surfer School

Industry: Sports and Physical Recreation Administrative Service (the type selected affect the default Chart of Accounts, which needs to be adjusted to suit the business)

Employees: No (Selecting Yes will enable Payroll function which is not covered in this subject)

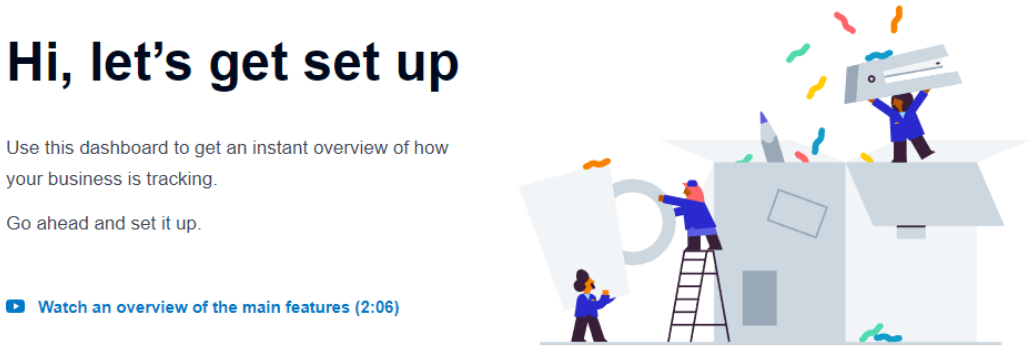
GST: Untick



Click “Start Trial” to proceed.

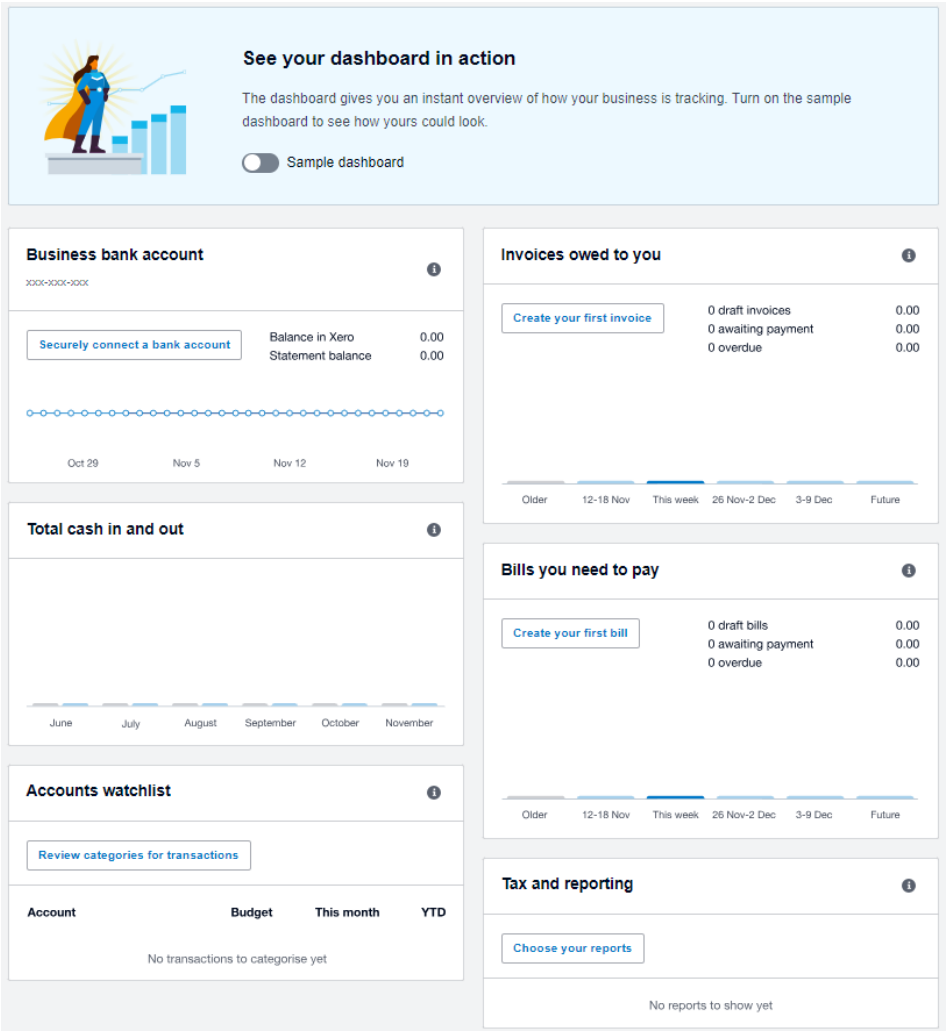
3. Customise Dashboard

There is a video that can be viewed explaining the main features.



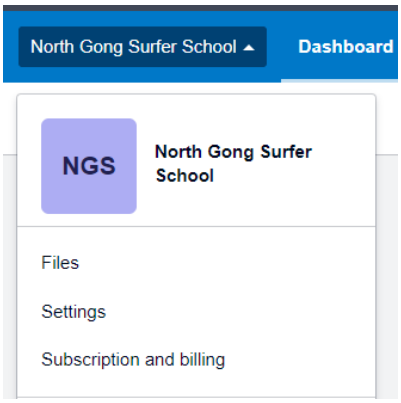
Click on "Edit Dashboard" on the top right-hand corner to add or remove charts in the dashboard.

We will now keep track of cash flow, invoices, bills, and where the money is going.



4. Adding Company Information

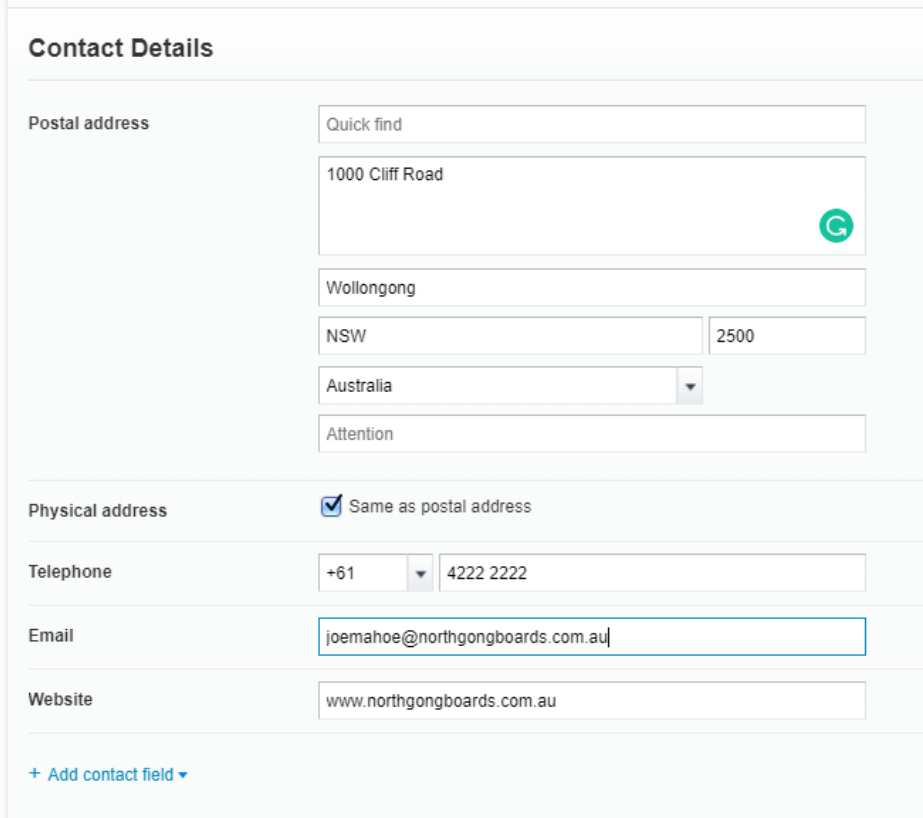
Click on the Business Name Panel (top left-hand corner), and select settings



Select Organisation Details

Change the organisation type to “individual”

Adding some relevant information available such as physical address/postal address, phone number, email address, and company website URL (these details will be automatically included in invoices and purchase orders) – these are not mandatory, but useful for producing invoices/bills.



Click Save to proceed.

5. Setup the Chart of Account
Click on “Accounting”, then “Advanced”, then “Chart of Accounts”, it will show the auto-generated Chart of Accounts

XERO’s default numbering system is as follows: 2- Income 3 – COGS (Cost of Sales) 4 – Expenses 5- Tax Expenses 6 – Current Assets, 7 – Non-current (fixed) Assets, 8 – Current Liabilities, 9 – Non-current Liabilities and Equities

Accounts with a “Lock symbol” indicates they are system accounts and cannot be directly removed.

Cash at Bank account is not provided by default, which needs to be added first.

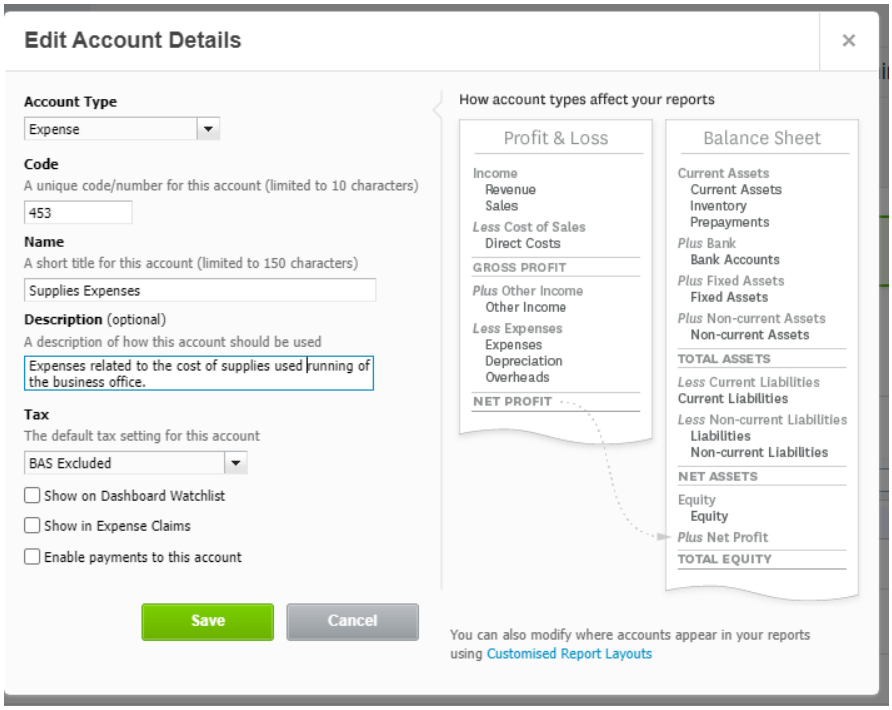
- Click “Add Bank Account”
- Select any of the Banks
- Insert Account Name – Cash at Bank, Account Code – 600, and a 6-digit BSB, and an account number (7-8 digits will be fine). **Please use fake information** (however, in practice using real information can enable real-time bank feed feature in XERO
- Skip the setup for bank feed by clicking “I’ve got a form” and “I will do it later”
- You will notice bank feed window will be added to the dashboard

Edit **Sales account** by clicking it, and rename the account to **“Service Revenue”**

Select 260 Other Revenue, 270 Interest Revenue, 310 COGS (Cost of Sales), and then “delete” to remove these accounts (COGS is not needed, as North Gong Surf School is a service business, not buying and selling inventories).

Tidy up the **Expense accounts** by deleting unnecessary accounts, and adding new ones or editing existing ones (make sure to change description when editing for consistency). E.g.

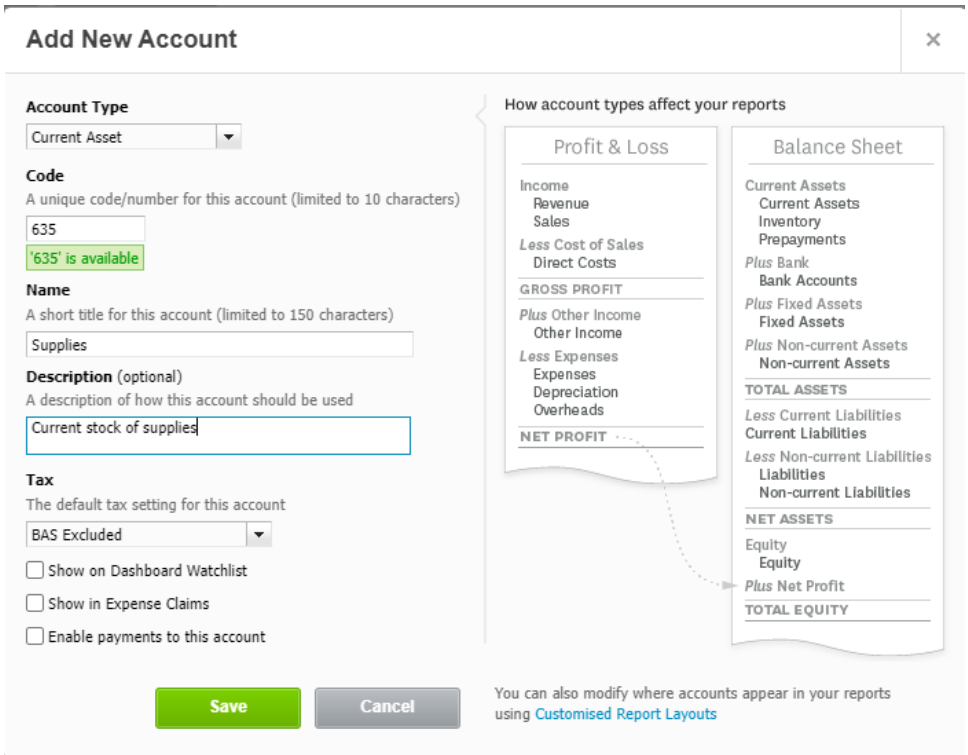
- 416 Depreciation (can be renamed to Depreciation Expense), 433 Insurance, 437 Interest Expense, 469 Rent, 477 Wages and Salaries can be kept and edited
- 453 Office Expense can be renamed to Supplies Expense (change description as well)



- Select and delete other unnecessary Expense accounts.

Tidy up the **Asset Accounts:**

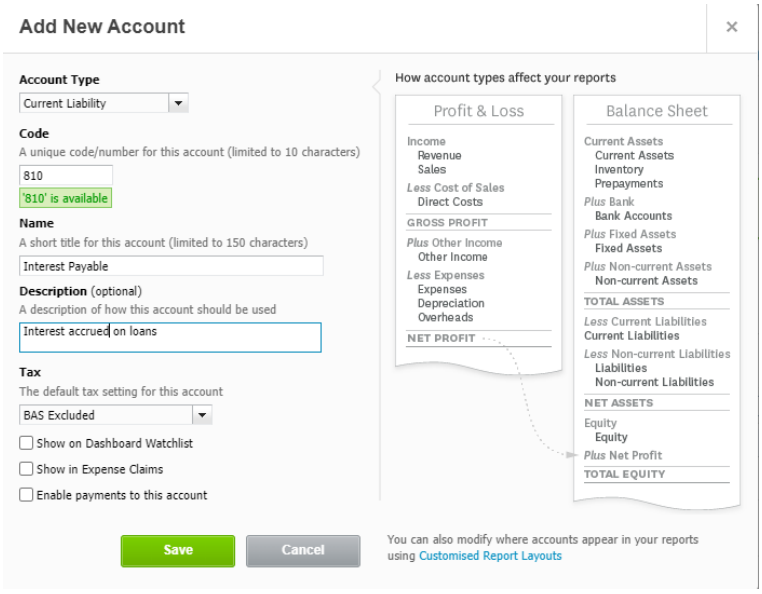
- 620 Prepayment rename to Prepaid Insurance
- Select and delete 630 Inventory, 720 Computer Equipment and 721 Acc-Dep for Computer Equipment
- Select **"Add Account"** and add "**Supplies"** as follows

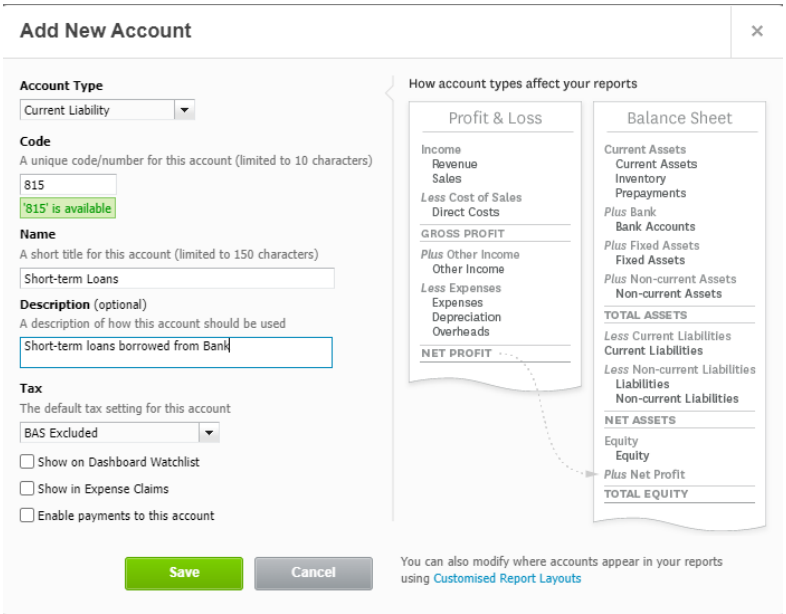


Tidy up the **Liability Accounts**:

Select and Delete 804 Wages Payable, 825 PAYG, 826 Superannuation, 830 Income Tax, 850 Suspense, and 900 Loan (we will change the loan to a current liability)

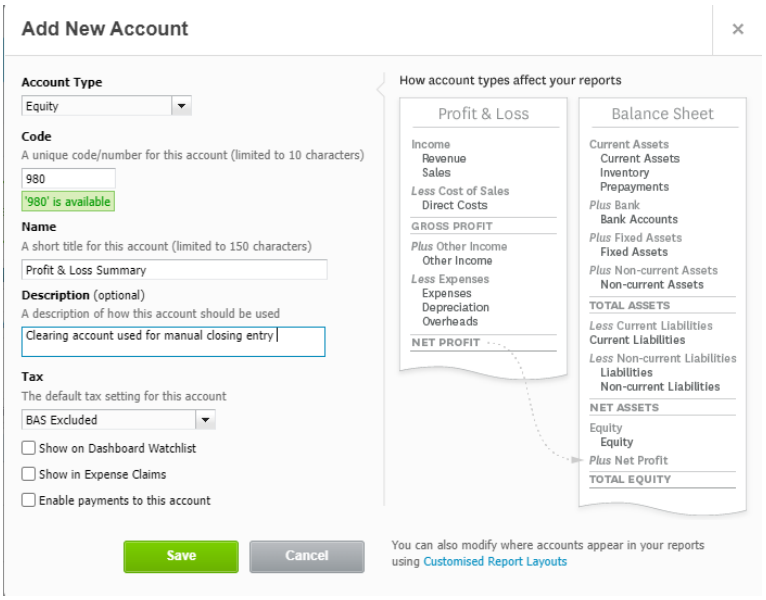
Select "Add Account" and add Interests Payable & Short-term Loan





Tidy up the **Equity Accounts**:

- Rename 970 Owner A Share Capital to **Joe Mahoe Capital**
- Rename 880 Owner A Drawings to **Joe Mahoe Drawings or just Drawings**
- Select and Delete 881 Owner A Funds Introduced – we will directly put the funds into the owner's capital account (970)
- Select "Add Account" to add Profit & Loss Summary – this account is a clearing account we will be using to demonstrate manual closing entry at the end of the month. It is not needed if you let XERO to automatically close accounts at the end of financial year and roll-over to next year

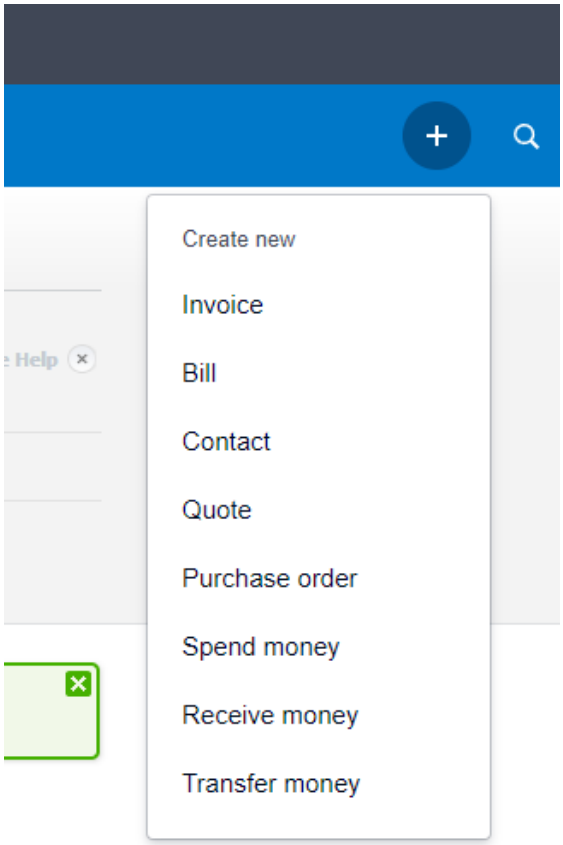


Now the Chart of Accounts is set up for the business, click on "Print PDF" to generate a Report (the date will be the current date, which is OK) and compare with the instructor solutions for Activity 1 uploaded on Moodle.

Activity 2 – Special Journals in Xero and Recording Daily Transactions

In this section, we will record the daily transactions from 1st July – 31st July (excluding adjusting and closing entries). We will use different functions in XERO that correlate to special journals in accounting.

Click on the "+" sign to access the quick launch menu, every function regarding special journals can be found here:



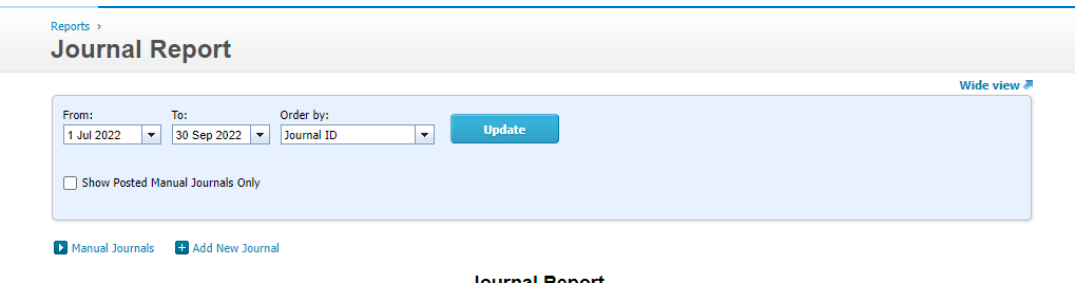
- Invoice – represents the **Sales Journal**, which should be used when you make a sale to a customer on account (receivable)
- Bill – represents the **Purchases Journal**, which should be used when you purchase from a supplier on account (payable)
- Spend Money – represents the **Cash Payments Journal**, which should be used when you pay cash for <u>any reasons</u>, including cash purchases
- Receive Money – represents the **Cash Receipts Journal**, which should be used when you receive cash for <u>any reasons</u>, including cash sales.

Functions <u>not used</u> in this practice set:

- Quote – when you are providing a quote service to a customer, which can be converted into an invoice later (note: generating a quote does not affect any accounts as the transaction is only possible)
- Purchase Order – when you are requesting a purchase, which can be converted into a Bill later. When a Quote/Purchase order is created, they are just intended transactions, so no journal entry is required, XERO will not update any ledges before they are converted into Invoice/Bill.

Why do we not record every transaction in the **General Journal**, and where is General Journal in Xero?

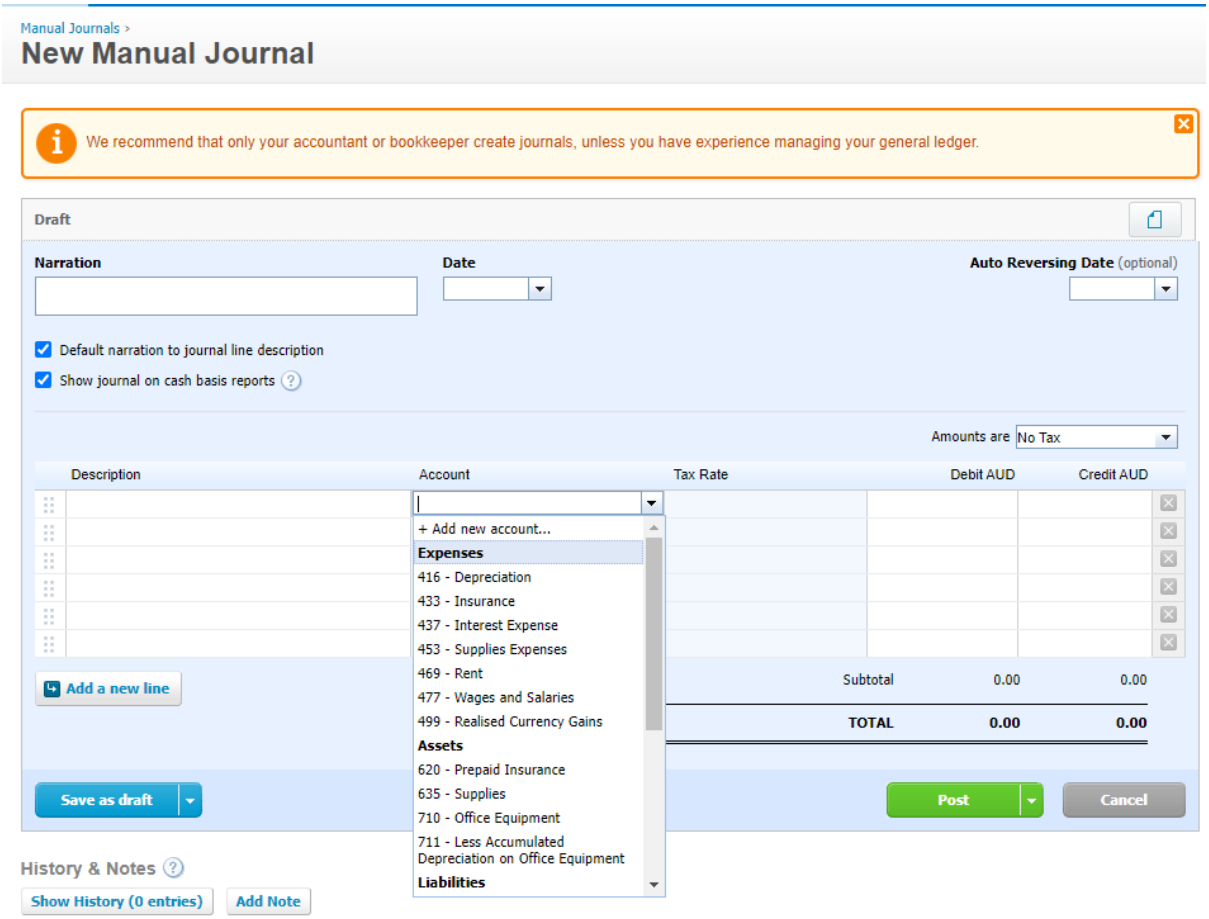
Click on “Accounting” then “Reports”, under “Taxes and Balances”, find “Journal Report” and click the star to add to the Accounting Menu. Then click on “Accounting” again, you should see “Journal Report” under “Reports” click on it (You can do this to add any frequently used reporting functions to the “Accounting” menu). The “Manual Journal” is the **General Journal**.



Journal Report

We will now test the **Manual Journal**, by trying to add a transaction (E.g. Dr Cash 100 Cr Service Revenue 100).

Click on “Add New Journal” in Journal Report menu, and click on the Account Tab with a down-arrow



You can see in the Assets account that Cash and Accounts Receivable is not included. Similarly, you will see that Accounts Payable is not included in the Liabilities. XERO prevents you from posting to these accounts in the Manual Journal (General Journal). In addition, you can see a warning on the top of the manual journal indicating that only experienced bookkeepers should create journals in the manual journal.

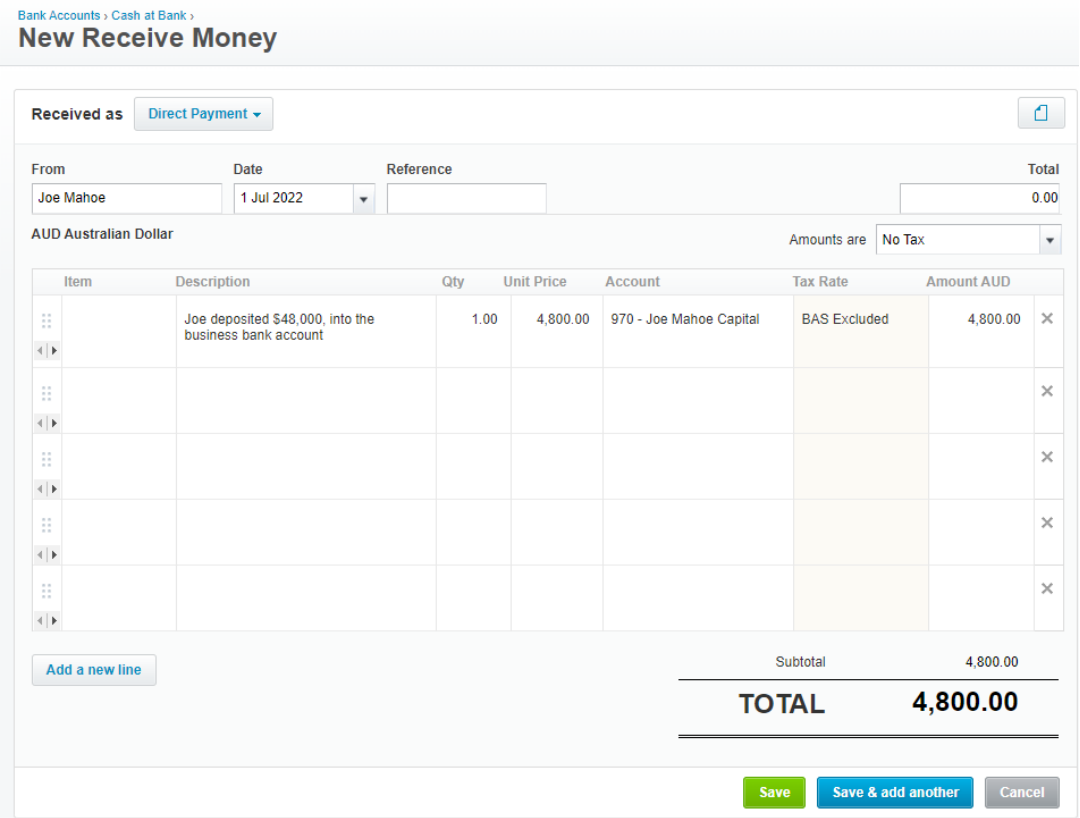
Instead, it is a more professional approach to use the **Special Journals** to record transactions concerning Cash, Accounts Receivable (representing sales made to customers), and Accounts Payable (representing purchases made from suppliers).

We will use the Manual Journal (General Journal) for Adjusting Entries and Closing Entries (these transactions normally are not associated with Cash, Accounts Receivable, or Accounts Payable).

Transaction 1: July 1 Joe deposited $4,800, into the business bank account.

Click the "+" quick launch button, then select "Receive Money", then select the Cash at Bank account (some businesses have multiple cash accounts, which need to be selected according to the purpose).

Record the Transaction as follows:



Please note:

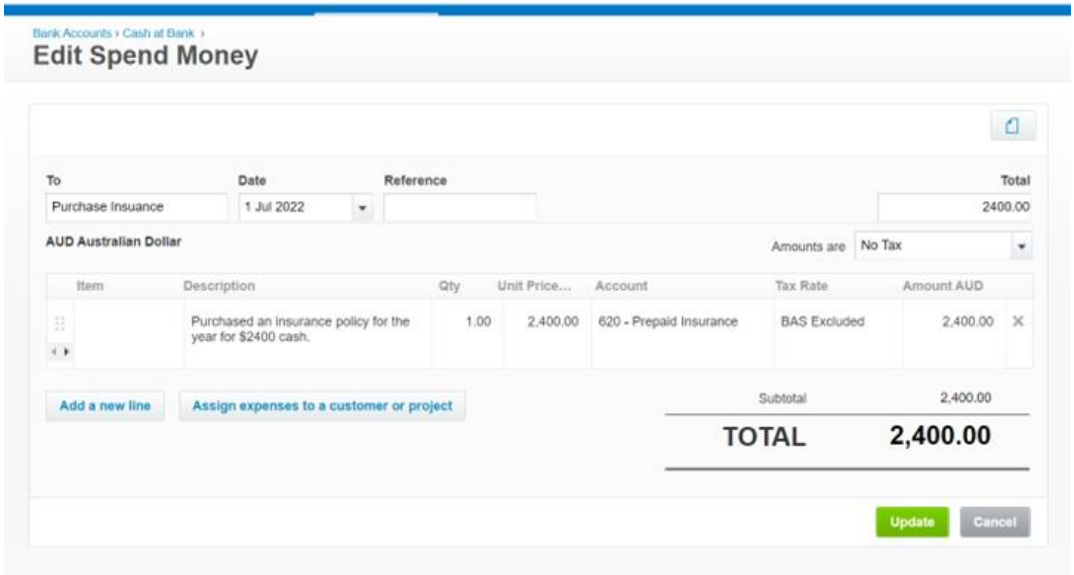
- By selecting "Receive Money", the cash account is always debited, so in this window you only need to state the account(s) which are credited
- Make sure the date is correctly entered
- The "From" box cannot be left blank, if a person or a company name is added, there is an option to add the name to the contact list
- You cannot directly insert 4,800 into the Amount box without providing a number for QTY and Unit Price. This is a feature in XERO asking for more details in a transaction before it can be recorded
- It is a good practice to leave descriptions and narrations so other people can understand what you have done
- Click on the note icon in the top right-hand corner. This allows you to upload files and documents, e.g. the deposit note (if available), so the audit trial can be properly added in XERO, which enhances the internal control of the function. It is

Click save to complete the transaction. You will notice the next screen summarises the transaction, and if you click on Dashboard, you should see your Cash charts have already been updated with data and visualisations.

Transactions 2: July 1 Purchased an insurance policy for the year for $2,400 cash.

Click the "+" quick launch button, then select "Spend Money", then select the Cash at Bank account

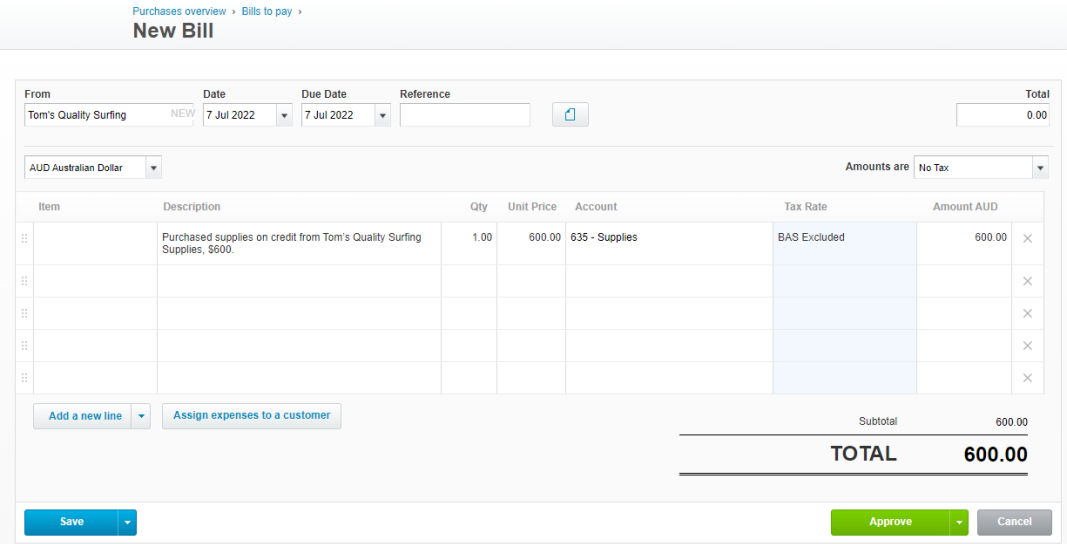
Record the transaction as follows:



Transactions 3: July 7 Purchased supplies on credit from Tom's Quality Surfing Supplies, $600.

Click the "+" quick launch button, then select "Bill"

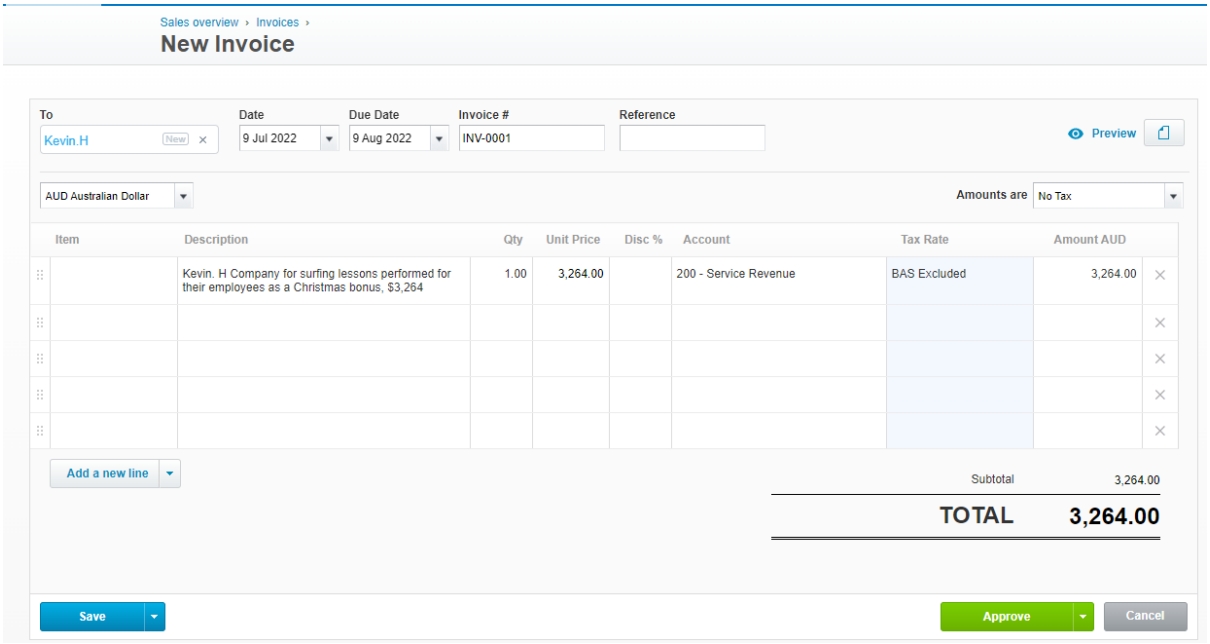
Enter Tom's Quality Surfing in the "From" box, then "+ New Contact", so next time we do not need to type the business's name again when entering a transaction associated with it.



Transactions 4: July 9 Issued an invoice to Kevin. H Company for surfing lessons performed for their employees as a Christmas bonus, $3,264.

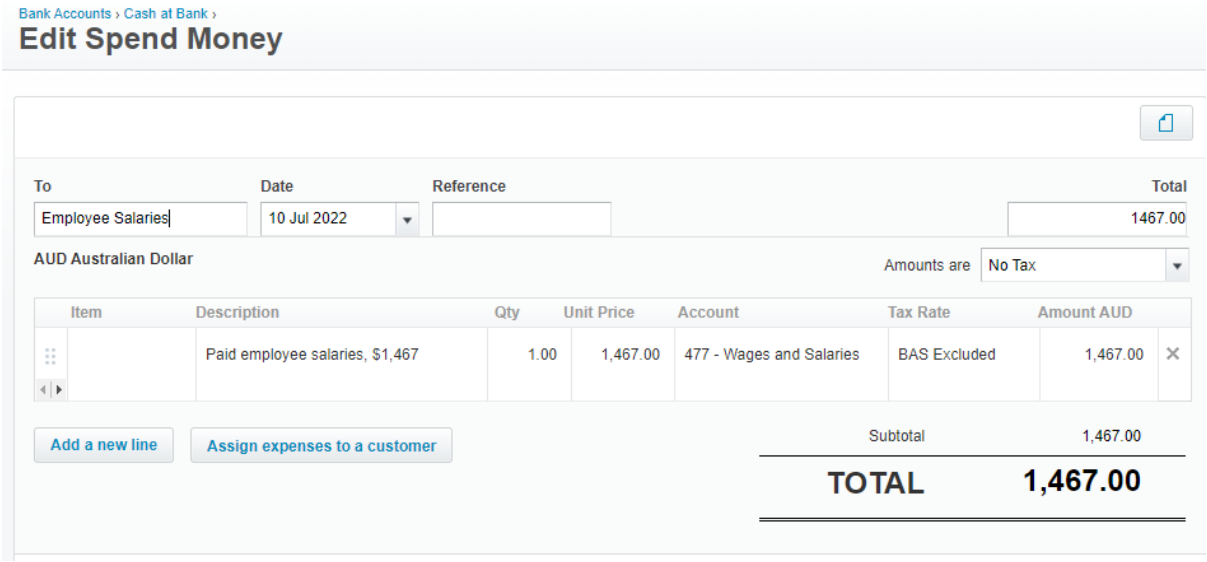
Click the "+" quick launch button, then select "Invoice"

Enter Kevin. H in the "To" box, then "+ New Contact", set the due date as 9th Aug, 2022



Transactions 5: July 10 Paid employee salaries, $1,467.

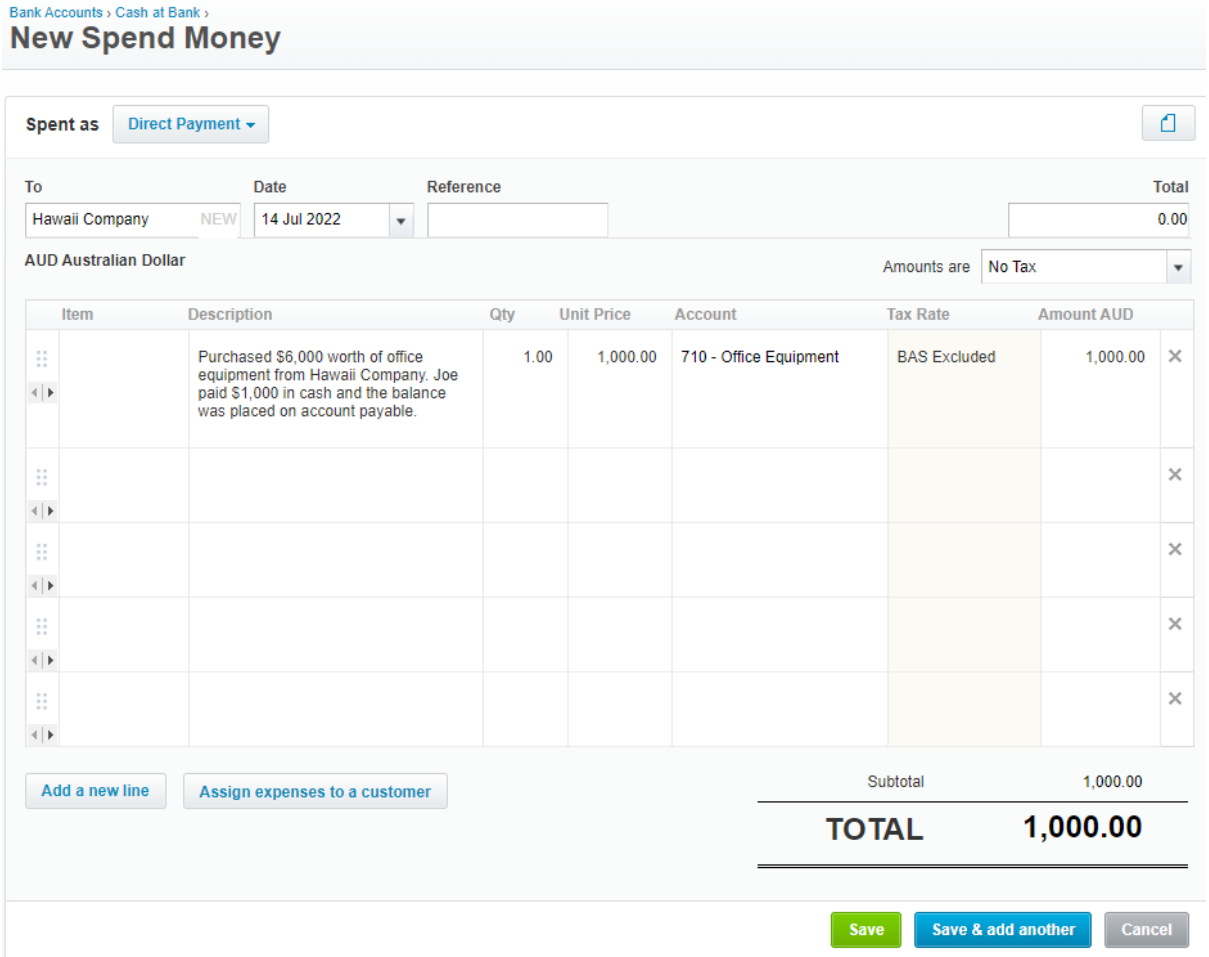
Click the "+" quick launch button, then select "Spend Money", then select the Cash at Bank account



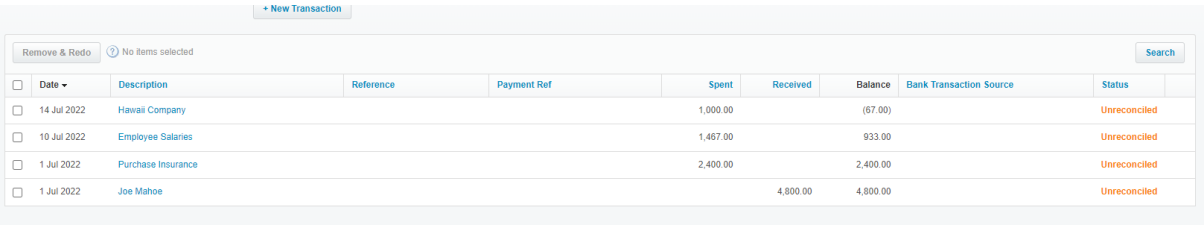
Transactions 6: July 14 Purchased $6,000 worth of office equipment from Hawaii Company. Joe paid $1,000 in cash and the balance was placed on accounts payable.

This transaction has two parts. We will use “Spend Money” to record the cash paid, and “Bill” to record the remaining balance to be paid later. (Hawaii Company is treated as a supplier)

Click “+” then “Spend Money”, select the Cash at Bank account and enter as follows: add Hawaii Company as a Contact as well, click Save. You will notice that after this transaction our cash balance is -67.00.



The next screen shows our cash now has a negative balance.



Then click “+” and select Bill, enter the transaction as follows, set the Due date as 14th Oct 2022, click approve:

Purchases overview › Bills to pay ›

New Bill

From	Date	Due Date	Reference	Total
Hawaii Company	14 Jul 2022	14 Oct 2022		0.00

AUD Australian Dollar — Amounts are: No Tax

Item	Description	Qty	Unit Price	Account	Tax Rate	Amount AUD
	Purchased $6,000 worth of office equipment from Hawaii Company. Joe paid $1,000 in cash and the balance was placed on account payable	1.00	5,000.00	710 - Office Equipment	BAS Excluded	5,000.00

Add a new line | Assign expenses to a customer

Subtotal 5,000.00

TOTAL 5,000.00

Save | Approve | Cancel

Transaction 7: July 15 Joe took a $2,000, 6-months short-term loan from the ANZ bank. The loan will incur a 12% annual interest, which needs to be paid when the loan term is ended.

Click "+" then "Receive Money", select the Cash at Bank account, enter as follows:

Bank Accounts › Cash at Bank ›

New Receive Money

Received as: Direct Payment

From	Date	Reference	Total
ANZ Bank NEW	15 Jul 2022		0.00

AUD Australian Dollar — Amounts are: No Tax

Item	Description	Qty	Unit Price	Account	Tax Rate	Amount AUD
	took a $2,000, 6-months short term loan from the ANZ bank	1.00	2,000.00	815 - Short-term Loans	BAS Excluded	2,000.00

Add a new line

Subtotal 2,000.00

TOTAL 2,000.00

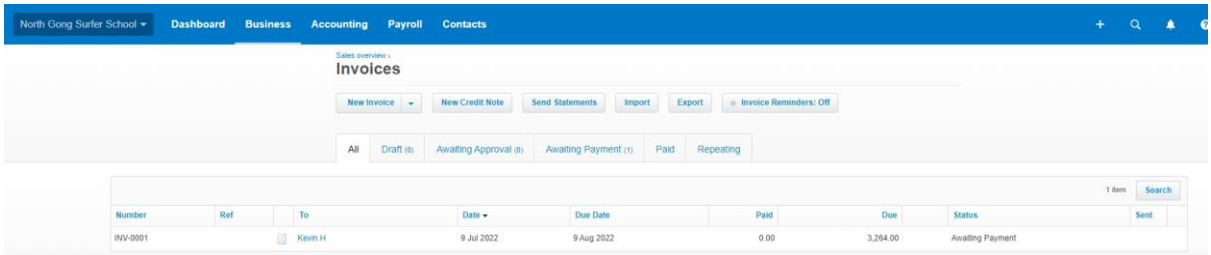
Save | Save & add another | Cancel

Note: the interest does not need to be entered now since it has not been accrued or paid. When we adjust the entry, we will look at the interest.

Transactions 8: July 17 Received cash from Kevin. H Company, $3,264.

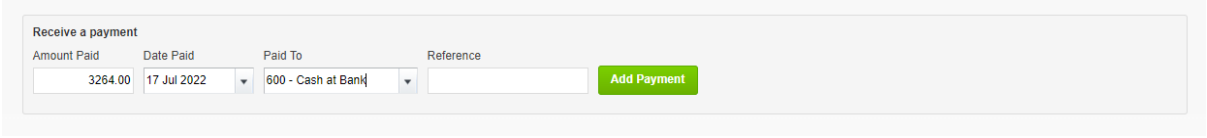
This is a payment we received from the customer, who we invoiced before. The payment should be recorded by finding the invoice.

Click on “Business”, then “Invoices”



Click on INV-0001, the link is under the customer’s name **Kevin.H**

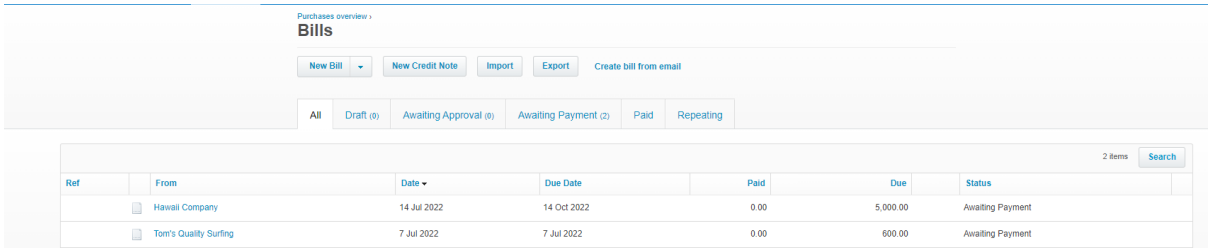
Record the payment in the “Receive a payment” area under the original invoice, click “Add Payment”



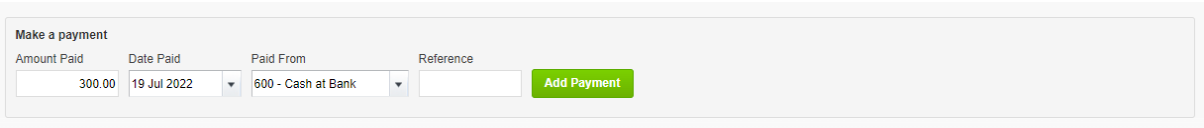
Transaction 9: July 19 Made payment to Tom’s Quality Surfing Supplies, $300.

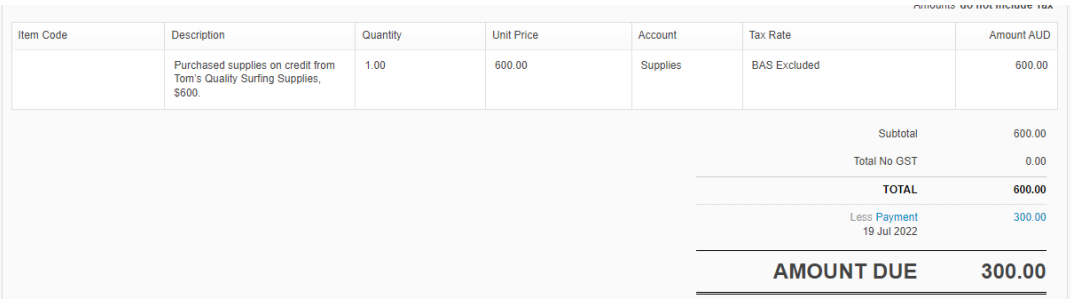
This is a payment to a supplier, which has an existing bill. The payment should be recorded by finding the bill.

Click on “Business”, then “Bills to pay”



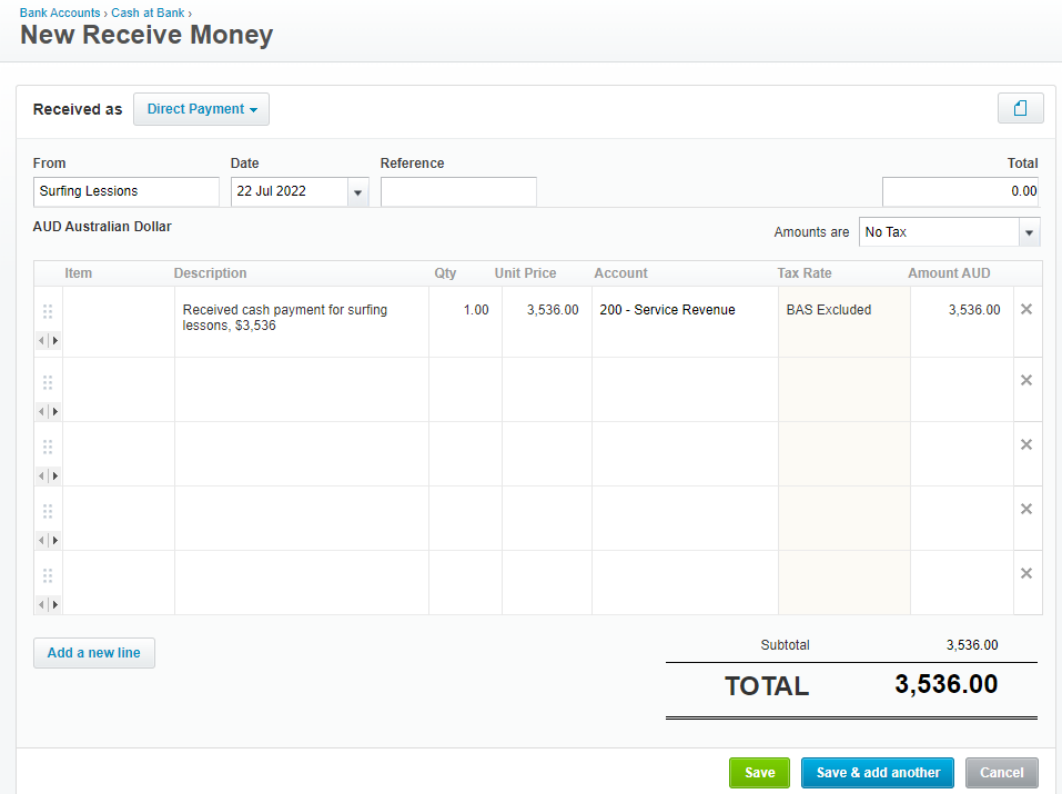
Select Tom’s Quality Surfing, record the payment in the “make a payment” area. **Note** this is not a full payment so the amount paid needs to be adjusted, click “Add Payment”. You will note the balance is also updated.





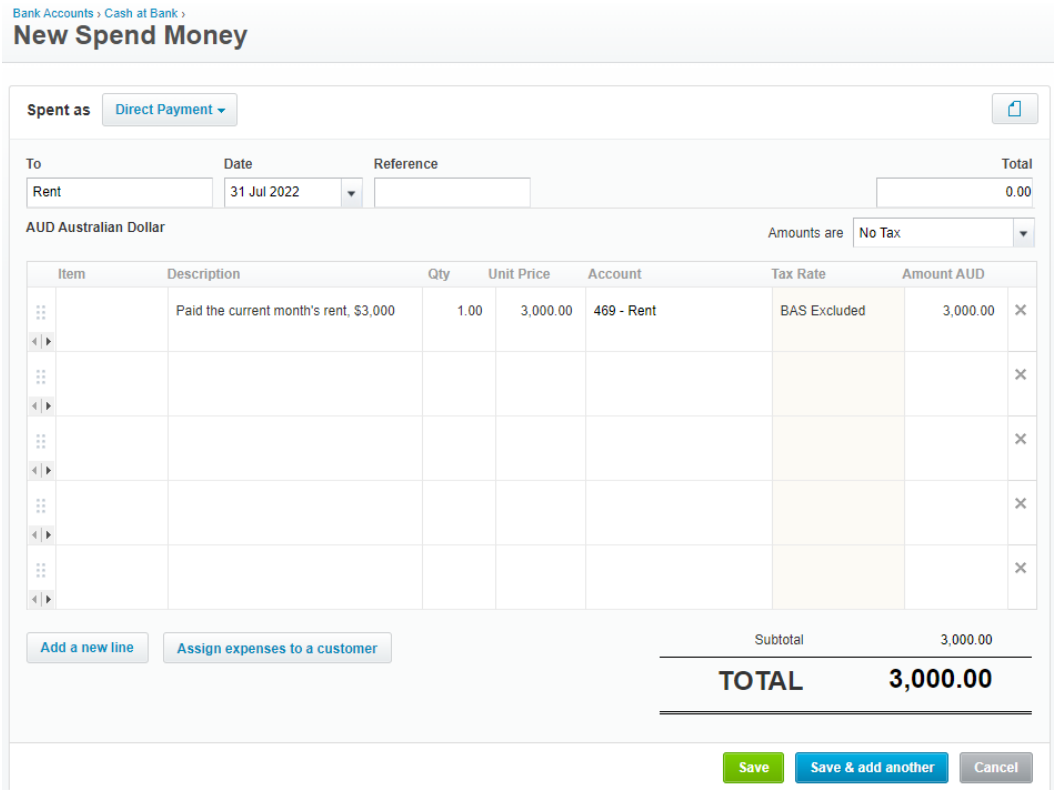
Transactions 10: July 22 Received cash payment for surfing lessons, $3,536.

Click “+” then “Receive Money”, select the Cash at Bank account, enter as follows:



Transactions 11: July 31 Paid the current month's rent, $3,000.

Click “+” then “Spend Money”, select the Cash at Bank account and enter as follow



Transactions 12: July 31 Joe withdrew $667 from the business bank account for personal use.

Click "+" then "Spend Money", select the Cash at Bank account and enter as follow:

Bank Accounts › Cash at Bank ›

New Spend Money

Spent as: Direct Payment

To	Date	Reference	Total
Drawings	31 Jul 2022		0.00

AUD Australian Dollar

Amounts are: No Tax

Item	Description	Qty	Unit Price	Account	Tax Rate	Amount AUD
	Joe withdrew $667 from the business bank account for personal use.	1.00	667.00	880 - Drawings	BAS Excluded	667.00

Add a new line | Assign expenses to a customer

Subtotal 667.00

TOTAL 667.00

Save | Save & add another | Cancel

Your Bank related transactions up to now should be shown on the next screen

Date	Description	Reference	Payment Ref	Spent	Received	Balance	Bank Transaction Source	Status
31 Jul 2022	Drawings			667.00		4,766.00		Unreconciled
31 Jul 2022	Rent			3,000.00		5,433.00		Unreconciled
22 Jul 2022	Surfing Lessions				3,536.00	8,433.00		Unreconciled
19 Jul 2022	Payment: Tom's Quality Surfing			300.00		4,897.00		Unreconciled
17 Jul 2022	Payment: Kevin.H	INV-0001			3,264.00	5,197.00		Unreconciled
15 Jul 2022	ANZ Bank				2,000.00	1,933.00		Unreconciled
14 Jul 2022	Hawaii Company			1,000.00		(67.00)		Unreconciled
10 Jul 2022	Employee Salaries			1,467.00		933.00		Unreconciled
1 Jul 2022	Purchase Insurance			2,400.00		2,400.00		Unreconciled
1 Jul 2022	Joe Mahoe				4,800.00	4,800.00		Unreconciled

Preparing a Trial Balance

After recording all the daily transactions, it is time to prepare a trial balance.

Select “Accounting”, then “Reports”, in “Taxes and Balances”, find “Trial Balance”, click.

Change the date to Customer, select 31st July 2022. Then click on “Update”

Trial Balance

Reorder columns

North Gong Surfer School
As at 31 July 2022

Account Code	Account	Account Type	Debit - Year to date	Credit - Year to date	30 Jun 2022
200	Service Revenue	Revenue		6,800.00	-
469	Rent	Expense	3,000.00		-
477	Wages and Salaries	Expense	1,467.00		-
600	Cash at Bank	Bank	4,766.00		-
620	Prepaid Insurance	Current Asset	2,400.00		-
635	Supplies	Current Asset	600.00		-
710	Office Equipment	Fixed Asset	6,000.00		-
800	Accounts Payable	Current Liability		5,300.00	-
815	Short-term Loans	Current Liability		2,000.00	-
880	Drawings	Current Liability	667.00		-
970	Joe Mahoe Capital	Equity		4,800.00	-
Total			**18,900.00**	**18,900.00**	-

On the bottom right-hand corner, click “Export”; generate a PDF and an Excel file and compare with the instructor solutions for Activity 2 uploaded on Moodle.

Then, select “Accounting”, then “Journal Report”, change the date from 1st July 2022 to 31st July 2022, then click “Update”. This creates a report for all the transactions you entered. Click on “Export” at the bottom of the screen to generate a PDF file.

ID 6 **Kevin.H** (Posted by Tairan Huang on 6 Sep 2022) — 9 Jul 2022

Account	Debit	Credit
Accounts Receivable (610)	3,264.00	
Service Revenue (200)		3,264.00
	3,264.00	**3,264.00**

ID 5 **Tom's Quality Surfing** (Posted by Tairan Huang on 6 Sep 2022) — 7 Jul 2022

Account	Debit	Credit
Accounts Payable (800)		600.00
Supplies (635)	600.00	
	600.00	**600.00**

ID 4 **Purchase Insurance** (Posted by Tairan Huang on 6 Sep 2022) — 1 Jul 2022

Account	Debit	Credit
Cash at Bank (600)		2,400.00
Prepaid Insurance (620)	2,400.00	
	2,400.00	**2,400.00**

ID 1 **Joe Mahoe** (Posted by Tairan Huang on 6 Sep 2022) — 1 Jul 2022

Account	Debit	Credit
Cash at Bank (600)	4,800.00	
Joe Mahoe Capital (970)		4,800.00
	4,800.00	**4,800.00**

Page 1 of 1 (13 total items) Showing 25 items per page

Export

Activity 3 – Adjusting Entries and Income Statement

In the previous section, we recorded all the daily transactions and checked the process by using the trial balance and the journal report. In this section, we will record the adjusting transactions and prepare an Income Statement for North Gong Surf School in its first month of operations.

The following adjusting entries occurred on 31st July 2022.

a) Prepaid Insurance expired for one-month.

b) The supplies on hand balance is $317.

c) Depreciation not recorded on equipment is $100.

d) What about the interest for the short-term loan? What should be done?

Entries required:

a) Dr Insurance Expense 200 Cr Prepaid Insurance 200 (2400/12 = 200 per month).

b) Dr Supplies Expense 283 Cr Supplies 283 (supplies purchased was 600, ending balance of supplies on hand is 317, used supplies = 600-317=283)

c) Dr Depreciation Expense 100 Cr Accumulated Depreciation - Office Equipment 100

d) Dr Interest Expense 10 Dr Interest Payable 10 (Loan amount 2000, annual interest 12%, borrowed on 15th July so on 31st July only ½ month of interest accrued, therefore 2000*12%*1/12*0.5 = 10)

Select "Accounting", then "Journal Report", then "add new journal", then enter as follows (note, these transactions can be entered individually, or collectively). Click "Post" to complete.

Draft

Narration: Adjusting Entries

Date: 31 Jul 2022

Auto Reversing Date (optional)

☑ Default narration to journal line description

☑ Show journal on cash basis reports

Amounts are: No Tax

Description	Account	Tax Rate	Debit AUD	Credit AUD
Adjusting Entries	433 - Insurance	BAS Excluded	200.00	
	620 - Prepaid Insurance	BAS Excluded		200.00
	453 - Supplies Expenses	BAS Excluded	283.00	
	635 - Supplies	BAS Excluded		283.00
	416 - Depreciation	BAS Excluded	100.00	
	711 - Less Accumulated Depreciatio...	BAS Excluded		100.00
	437 - Interest Expense	BAS Excluded	10.00	
	810 - Interest Payable	BAS Excluded		10.00
		Subtotal	593.00	593.00
		TOTAL	593.00	593.00

Add a new line

Save as draft | Post | Cancel

Now select “Accounting”, then “Reports”, in “Financial Statements”, find “Profit and Loss”, click.

Change the date range 1st July 2022 to 31 July 2022, click “Update”

Profit and Loss

North Gong Surfer School
For the month ended 31 July 2022

	Jul 2022
Trading Income	
Service Revenue	6,800.00
Total Trading Income	**6,800.00**
Gross Profit	**6,800.00**
Operating Expenses	
Depreciation	100.00
Insurance	200.00
Interest Expense	10.00
Rent	3,000.00
Supplies Expenses	283.00
Wages and Salaries	1,467.00
Total Operating Expenses	**5,060.00**
Net Profit	**1,740.00**

Next to the “Update” button, click on “More”, tick “Percentage of trading income”, then click “update” to generate an income statement with vertical analysis.

Profit and Loss

North Gong Surfer School
For the month ended 31 July 2022

	Jul 2022	Jul 2022 % of Trading Income
Trading Income		
Service Revenue	6,800.00	100.00%
Total Trading Income	**6,800.00**	**100.00%**
Gross Profit	**6,800.00**	**100.00%**
Operating Expenses		
Depreciation	100.00	1.47%
Insurance	200.00	2.94%
Interest Expense	10.00	0.15%
Rent	3,000.00	44.12%
Supplies Expenses	283.00	4.16%
Wages and Salaries	1,467.00	21.57%
Total Operating Expenses	**5,060.00**	**74.41%**
Net Profit	**1,740.00**	**25.59%**

Export these reports in PDF and Excel and compare with the instructor solutions for Activity 3 uploaded on Moodle.

Activity 4 – Closing Entries and Balance Sheet

In this section, we will demonstrate how manual closing entries are recorded at the end of the period. In Xero, the closing entries must be recorded before the balance sheet can be prepared. Please follow the process of closing entries:

1. Close all income accounts to P/L summary
2. Close all expense accounts to P/L summary
3. Close the balance of P/L summary into Owner's Capital Account
4. Close drawings into Owner's Capital Account

The balances of these accounts can be found using a Trial Balance. Run a Post-adjusting Trial balance by selecting "Accounting", then "Reports", then "Trial Balance".

Trial Balance

Reorder columns

North Gong Surfer School
As at 31 July 2022

Account Code	Account	Account Type	Debit - Year to date	Credit - Year to date	30 Jun 2022
200	Service Revenue	Revenue		6,800.00	-
416	Depreciation	Expense	100.00		-
433	Insurance	Expense	200.00		-
437	Interest Expense	Expense	10.00		-
453	Supplies Expenses	Expense	283.00		-
469	Rent	Expense	3,000.00		-
477	Wages and Salaries	Expense	1,467.00		-
600	Cash at Bank	Bank	4,766.00		-
620	Prepaid Insurance	Current Asset	2,200.00		-
635	Supplies	Current Asset	317.00		-
710	Office Equipment	Fixed Asset	6,000.00		-
711	Less Accumulated Depreciation on Office Equipment	Fixed Asset		100.00	-
800	Accounts Payable	Current Liability		5,300.00	-
810	Interest Payable	Current Liability		10.00	-
815	Short-term Loans	Current Liability		2,000.00	-
880	Drawings	Current Liability	667.00		-
970	Joe Mahoe Capital	Equity		4,800.00	-
Total			**19,010.00**	**19,010.00**	-

Select “Accounting”, then “Journal Report”, then “add new journal”, as follows:

Draft

Narration Closing Entry

Date 31 Jul 2022

Auto Reversing Date (optional)

☑ Default narration to journal line description

☑ Show journal on cash basis reports

Amounts are No Tax

Description	Account	Tax Rate	Debit AUD	Credit AUD
Closing Income account	200 - Service Revenue	BAS Excluded	6,800.00	
	980 - Profit & Loss Summary	BAS Excluded		6,800.00
Closing Expense accounts	980 - Profit & Loss Summary	BAS Excluded	5,060.00	
	416 - Depreciation	BAS Excluded		100.00
	433 - Insurance	BAS Excluded		200.00
	437 - Interest Expense	BAS Excluded		10.00
	453 - Supplies Expenses	BAS Excluded		283.00
	469 - Rent	BAS Excluded		3,000.00
	477 - Wages and Salaries	BAS Excluded		1,467.00
Closing P/L summary balance	980 - Profit & Loss Summary	BAS Excluded	1,740.00	
	970 - Joe Mahoe Capital	BAS Excluded		1,740.00
Closing Drawings	970 - Joe Mahoe Capital	BAS Excluded	667.00	
	880 - Drawings	BAS Excluded		667.00
		Subtotal	14,267.00	14,267.00
		TOTAL	**14,267.00**	**14,267.00**

Add a new line

Save as draft | Post | Cancel

Note: the balance in the P/L summary should be the profit from the Income Statement we previously produced.

Then select “Accounting”, then “Reports”, then “Balance Sheet”, change the date to 31st July 2022, click “Update”

Balance Sheet

North Gong Surfer School
As at 31 July 2022

	31 Jul 2022
Assets	
Bank	
Cash at Bank	4,766.00
Total Bank	**4,766.00**
Current Assets	
Prepaid Insurance	2,200.00
Supplies	317.00
Total Current Assets	**2,517.00**
Fixed Assets	
Less Accumulated Depreciation on Office Equipment	(100.00)
Office Equipment	6,000.00
Total Fixed Assets	**5,900.00**
Total Assets	**13,183.00**
Liabilities	
Current Liabilities	
Accounts Payable	5,300.00
Interest Payable	10.00
Short-term Loans	2,000.00
Total Current Liabilities	**7,310.00**
Total Liabilities	**7,310.00**
Net Assets	**5,873.00**
Equity	
Joe Mahoe Capital	5,873.00
Total Equity	**5,873.00**

Export the balance in PDF and Excel Format to compare with the instructor solutions for Activity 4 uploaded on Moodle.

Congratulations! You have successfully completed the practical workbook for XERO in ACCY122.